Ordinal theory

According to ordinal theory consumer is in equilibrium where slope of indifference curve is equal to slope of budget line.

Slope of IC = Slope of BL

Indifference Curve:

"Indifference curve represent different combination of two goods that provide the same level of utility to a consumer"

Date:________ Day:________

Explanation

We will explain the indifference curve with the help of table and diagram.

Table:

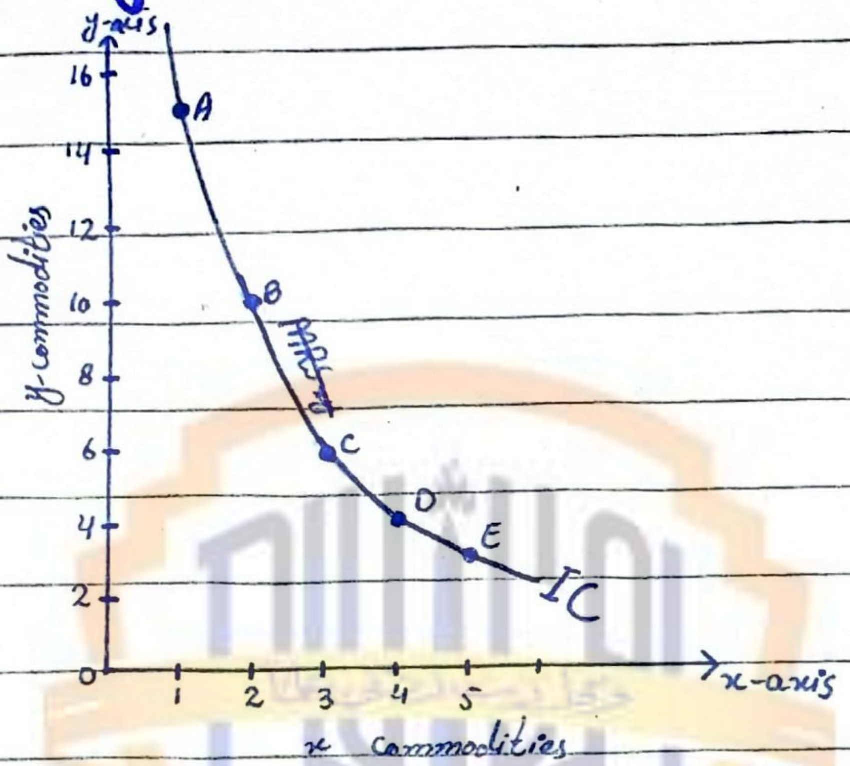
Pairs	x	y	MRS
A	1	15	0
B	2	10	1:5
C	3	6	1:4
D	4	4	1:2
E	5	3	1:1

Explanation:

In table we show pairs of commodity in 1st column, units of x in 2nd column and units of y in 3rd column and MRS in 4th column. Table shows that consumer loss 5 units of y to gain 1 unit of x and respectively he loss 4 units of y to gain 1 unit of x and so on. It is the base of Indifference curve.

Date: Day:

Diagram:



In diagram at x-axis we shown unit of x and on y-axis units of y. When consumer is at point A he has one unit of x and 15 units of y. At point B consumer loss 5 units of y to gain 1 unit of x. In decreasing order at last, consumer at point D he loss 1 unit of y to gain one unit of x.

Date: Day:

So, Marginal Rate of substitution continuously decreases and it is the base of Indifference curve. By joining all points A, B, C, D, E we obtain IC. At this curve the consumer has same satisfaction.

Slop of IC:

slope of indifference curve is defined as:

Slope of IC $= \frac{\Delta Y}{\Delta x}$